Effective Date:
3/1/2024

Background:
The Federal Poverty Levels (FPLs) used in determining financial eligibility to Medi-Cal programs are adjusted annually to allow for changes to the cost of living. The Statewide Average Private Pay Rate (APPR) for Nursing Facility Level of Care services (NFLOC) is used to calculate the period of ineligibility (POI) for institutionalized customers who make a transfer of assets for below fair market value.

Purpose:
To provide staff with the 2024 FPL and APPR values and procedures.

Policy:
Use the updated 2024 FPL values when determining eligibility for the appropriate programs referenced in Medi-Cal Program Guide (MPG) 11.1A Assistance Standards:

- For applicants and beneficiaries of the Medicare Savings Programs (MSP): Qualified Medicare Beneficiary (QMB), Specified Low-Income Medicare Beneficiary (SLMB), and Qualified Individual (QI) who do not receive Title II Retirement Survivors and Disability Insurance (RSDI) income, the new FPL values must be applied retroactively to January 1, 2024.
- For MSP customers who are receiving Title II RSDI income, apply the new FPL values retroactively to March 1, 2024.
- For individuals who are eligible for Aged, Blind, and Disabled (ABD) FPL programs and 250% Working Disabled Program (WDP), apply the updated FPL values effective April 1, 2024.
- For customers whose Medi-Cal eligibility is based upon Modified Adjusted Gross Income (MAGI) methodologies, apply the FPLs retroactively to January 1, 2024.

Effective January 1, 2024, the APPR for NFLOC is $12,608. Do not review or request information for transfers made after January 1, 2024.

Procedure:
Review all denials and discontinuances back to the date specified for each group and re-evaluate eligibility based on the revised FPLs. Upon request from the beneficiary, the beneficiary's parent or legal guardian, or the beneficiary's authorized representative, staff must retroactively change eligibility for the following circumstances:

- Advanced Premium Tax Credit (APTC) eligible individuals who did not enroll in a Qualified Health Plan (QHP) or did not pay a premium.
- APTC eligible individuals who enroll in a QHP and pay a premium but have Medi-Cal covered medical or dental expenses that were not covered by their QHP during the retroactive period.
- Individuals with a Share-of-Cost (SOC) who are redetermined eligible to zero SOC or lower SOC when using the 2024 FPLs, who had out of pocket expenses for covered medical or dental services may be eligible for retroactive Medi-Cal out-of-pocket expense reimbursements (Conlan). Refer to Medi-Cal Program Guide (MPG) 04.02.10J Beneficiary Reimbursement Process for more information.

Use the 2024 APPR when calculating a disqualifying transfer of property made during the 30-month look-back period in 2023 or earlier. Refer to Special Notice 23-06 for more information about how asset elimination affects the look-back period for a POI.

Automation Impact:
The California Statewide Automated Welfare System (CalSAWS) applied the FPL changes on March 2, 2024, with the correct effective dates for each group listed above. Four lists were generated by CalSAWS to assist in case processing and were uploaded to SharePoint here.

Calculate each uncompensated transfer manually using form MC 176 PI and the updated APPR amount. When a POI is determined, send the MC 176 PI and related documentation to the Department of Health Care Services (DHCS) via secure email for review at NonMAGIinbox@dhcs.ca.gov within 10 days. Once approved, request the restriction code 951 via a 14-28 to the MEDS operator.

References:
ACWDL 24-02 and 24-05

Sunset Date:
This policy will be reviewed for continuance on or by 12/31/2026.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services